

## **The complaint**

Mrs K complains that Affinity Insurance Solutions Limited mis-sold her a home insurance policy. She said she wasn't made aware of a policy exclusion and this impacted on her when she had to make a claim.

## **What happened**

In April 2021 Mrs K suffered a bereavement, which resulted in her inheriting a property.

On 8 June 2021, Mrs K's husband contacted Affinity over the telephone to request that it quote for and arrange a home insurance policy on behalf of his wife. Mr K told Affinity his wife wanted to insure the inherited property and that she'd given him authority to act on her behalf. Mr K also informed Affinity that the property in question was unoccupied.

Affinity explained that an unoccupied property would be subject to restricted cover and Mr K decided to take out the policy during the sales call.

Affinity emailed policy documentation to Mrs K via the email address that Mr K had provided and the policy renewed for a second year in July 2022.

In mid-December 2022, Mrs K became aware that the property had suffered serious damage following an escape of water. At this time, the property remained unoccupied. However, Mr and Mrs K were visiting the property on a regular basis to maintain its upkeep.

Mrs K contacted the policy underwriter, which I'll refer to here as "P", to report a claim. But she was informed that an escape of water was excluded under the policy because the property was unoccupied. It pointed her to the policy terms, which confirmed the exclusion.

Mrs K complained to Affinity that it had mis-sold the policy during the initial sales call. She said she wasn't made aware of the policy exclusion and was now being detrimentally impacted as a result. But Affinity didn't uphold Mrs K's complaint as it said the call handler that had discussed the policy with Mr K, immediately prior to the policy inception, had made him aware on several occasions that there was restricted cover if a property was unoccupied. So, it didn't think it had done anything wrong.

Being dissatisfied with Affinity's response to her complaint, Mrs K referred it to our service. She stated that she'd been a vulnerable consumer at the time the policy had been inception – having been affected by grief and ill health. And she said that her husband had been worried about her wellbeing and suffering with grief at the time he contacted Affinity.

Our investigator looked into what happened and empathised with Mrs K. But they didn't recommend upholding this complaint. They were persuaded that Affinity had provided clear information about the policy features and exclusions at the point of sale and in the policy documentation provided once the policy had been inception.

Affinity agreed with our investigator's view of this complaint. But Mrs K didn't and asked for her complaint to be referred to an ombudsman.

## What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mrs K has sent submissions in response to our investigator's view of her complaint. I want to assure her I've read and considered everything that both she and Affinity have sent when reaching my decision. I haven't referred to all the points Mrs K raised as I've focused on what I feel are the key issues of the case. I hope Mrs K won't take that as a discourtesy, my approach reflects the informal nature of our service.

I can appreciate why Mrs K is disappointed with our investigator's view of her complaint. I've no doubt that discovering an escape of water and finding out a claim wasn't covered under the policy was very distressing for her.

Mrs K believes she was mis-sold the home insurance policy that was inceptioned on 8 June 2021. She states she wasn't told an escape of water wouldn't be covered if the property was unoccupied for more than 60 consecutive days.

Mr K inceptioned the policy on Mrs K's behalf having obtained a quote over the telephone from Affinity. I recognise that, at that time, Mrs K was unwell and affected by grief given her recent bereavement. So, she couldn't arrange insurance herself. She delegated this task to Mr K and hasn't told us that he didn't have authority to act on her behalf when taking out the policy with Affinity.

I've listened very carefully to the call recording from 8 June 2021 that Affinity provided our service. The quality of the recording is good in terms of its volume and content. I understand that Mrs K has been provided with a copy of the call recording in the interests of candour.

At the start of the telephone call, Mr K explains that he is wishing to insure an unoccupied property on behalf of his wife. The call handler informs him that a restriction applies on the cover that is available where a property is unoccupied for more than 60 consecutive days. This is mentioned a second time by the call handler and Mr K says "that's fine". He confirms that he's happy with the policy terms and asks the call handler to set the policy up. He then provides his email address for receipt of the policy documents.

Based on the content of the call recording, I'm persuaded it was made clear to Mr K on at least three occasions that cover for claims relating to a property that was unoccupied for more than 60 consecutive days would be restricted.

Affinity's policy booklet outlines in detail the policy exclusions and how a claim would be settled in the event one was made where a property is unoccupied. This is important because it enables a policyholder to make an informed decision about whether the policy provides adequate cover. This is why insurers offer a cooling off period – during which a policyholder can cancel their policy they've taken out without a financial penalty.

After this policy was purchased, Affinity sent Mrs K a policy booklet and schedule via the email address Mr K had provided during the sales call. On the first page of the letter Mrs K was sent I can see Affinity advises a policyholder to check the policy carefully to ensure that *"everything's correct and the cover you've chosen is right for you"*.

I think this letter made it clear that Affinity wouldn't provide any advice on the suitability of the policy, and that it was for Mrs K to determine suitability for herself.

The policy terms Mrs K received were significantly more detailed than the information provided during the sales call. I say this because the policy booklet is 46 pages in length, which isn't unusual.

Having considered the policy documentation Affinity provided Mrs K I'm satisfied that the level of cover for unoccupied properties is clear and not misleading. It's clear that an escape of water claim would be excluded under the policy where a property was unoccupied for more than 60 consecutive days. I should also add that all home insurance policies hold an unoccupied property exclusion (often for 30 days unoccupancy) because of the obvious increase in risk to a property that is unoccupied, especially in winter.

Mrs K may feel it's an unrealistic expectation to have to read all the policy documents she was sent by Affinity. But it's clear that insuring the property while it was unoccupied was particularly important to her. And I think it's reasonable to expect her, like any policyholder, to read the documents and policy wording she received to ensure the policy remained suitable to her needs and matched the cover she required.

The policy documentation Mrs K received sets out the limitations and policy exclusions that applied to an unoccupied property. She could have exercised her right to cancel her policy without penalty during the cooling-off period if the cover wasn't suitable. I can't fairly hold Affinity responsible if Mrs K didn't read information that was outlined in clear terms that related to the limitations of cover for an unoccupied property.

Mrs K has told our service that both her and her husband were vulnerable consumers at the time the policy was incepted. And I recognise that the policy was taken out at the time of recent bereavement and when Mrs K was unwell. However, the evidence satisfies me that the restriction on cover was explained to Mr K during the sales call and to Mrs K in the policy documents.

I haven't seen enough to persuade me that Mrs and Mr K's circumstances were such that they precluded their understanding of the policy terms. And, as I've already mentioned, there were opportunities after the policy was purchased where Mrs K could have checked the level of cover available.

Having considered the sales process, and the policy terms and conditions, I'm satisfied Affinity provided information to Mrs K in a clear, fair and not misleading way to enable her to make an informed choice about whether the cover purchased was suitable. This means I don't think the policy was mis-sold.

I realise Mrs K will be disappointed with my decision. But for the reasons already outlined I'm not going to uphold this complaint.

### **My final decision**

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs K to accept or reject my decision before 1 May 2023.

Julie Mitchell  
**Ombudsman**